

WHO CAN LAUNCH SIFs

An MF which has been in operation for at least three years

Has an average AUM of ₹10,000 crore in the immediately preceding three years

An MF is also eligible if it appoints a CIO with a fund management experience of at least 10 years, with average AUM of not less than ₹5,000 crore

Also, an additional fund manager with a fund management experience of at least three years who has managed AUM of not less than ₹500 crore

AMC against which there has been no regulatory action under SEBI provisions in the last three years



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differentiated strategies. On the other hand, we have had a year and a half of markets not going up. There has been volatility. So, that creates a good environment for a strategy like the SIF. The fact that it has been structured to be offered to investors inside the mutual fund wrapper, which is really well understood, there is transparency, there's governance around it, and there is tax efficiency, I think that's a win-win," says Sid Swaminathan, the MD and CEO of Jio Black-Rock Asset Management.

Swaminathan believes India has similar potential as investor preferences evolve. In the US, strategies comparable to SIFs are offered through alternative mutual funds or liquid alternatives, which bring hedge fund-like investment approaches to retail investors. Like SIFs, they can take both long and short positions. According to the Deloitte Centre for Financial Services, alternative funds, including those targeted at retail investors, could manage \$4.1 trillion in assets by the end of this decade.

Arun Patel, founder and partner of Arunasset Investment

Services, says SIFs are an interesting category, and the rapid rise in AUM indicates strong demand among the investor segment they are designed for. However, investors should not confuse rapid asset gathering with a proven track record.

Experts say while some money is shifting from PMSs and AIFs, experienced mutual fund investors who have built sizeable portfolios are also among the early adopters of SIFs.

"As things stand, no SIF has a one-year live record. I would prefer to wait a little longer to see how AMCs use this additional flexibility across different market conditions before committing meaningful money," says Patel. However, there is a trade-off. In a sharply rising market, the same hedge can cap the upside. "So, SIFs should be judged on risk-adjusted returns over a full cycle rather than